Practice workbook · Why the capital/revenue split matters

Extended writing on how misclassification distorts profit, asset values and decisions by users.

3 question parts: 1 worked-example retry and 2 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-24

1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

1 On 31 December 2024, Jay, a sole trader, provided the following information.

	$
Inventory at 1 January 2024	15 600
Machinery at 1 January 2024 – Cost – Provision for depreciation	 75 500 18 750
Discount allowed	1 328
Discount received	534
General expenses	8 900
Insurance	2 080
Machinery repairs	1 500
Purchases	69 320
Rent and rates	5 600
Returns inwards	3 214
Revenue	143 200
Wages and salaries	24 560

Additional information at 31 December 2024

- Closing inventory was valued at $12 900
- Machinery is depreciated at 20% per annum on a reducing balance basis. There had been no purchases or disposals of machinery during the year.
- Irrecoverable debts of $850 were to be written off.
- Other receivables for insurance were $250
- Other payables for wages and salaries were $440

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1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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(a) Prepare the income statement for the year ended 31 December 2024.

(12)

Jay
Income Statement for the year ended 31 December 2024

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1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

Following preparation of his income statement, Jay discovered that a payment for machinery repairs, $500, had been entered in the machinery account.

(b) Calculate the adjusted profit for the year ended 31 December 2024 after the correction of this error.

(4)

Jay is considering changing his method of depreciation to the straight-line method as he believes that this will increase his profit for the year.

(c) Explain, referring to a relevant accounting concept, whether he should proceed with this proposal.

(4)

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1. Question 1 · part d · 5 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part d only.

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(d) Advise Jay why it is important to differentiate between capital expenditure and revenue expenditure.

(5)

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(Total for Question 1 = 25 marks)

1. Question 1 · part d · 5 marks · Working and answer

Working and answer

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2. Question 18 · part d · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

18 (a) Define the terms:

(i) other payables

(2)

(ii) other receivables.

(2)

Waseem is preparing his financial statements for the year ended 31 May 2018.

On 5 June 2018 he received an invoice, $960, for advertising covering the period 1 March 2018 to 31 October 2018.

(b) Calculate the amount to be added to the advertising account for the year ended 31 May 2018.

(2)

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2. Question 18 · part d · 5 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(c) Complete the table by indicating with a tick (✓) which transactions are revenue expenditure and which are capital expenditure.

(4)

Transaction	Revenue expenditure	Capital expenditure
Factory roof repairs		
Factory extension		
Machinery installation		
Machinery maintenance		

(d) Evaluate why it is important for a business to distinguish between revenue expenditure and capital expenditure.

(5)

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(Total for Question 18 = 15 marks)

2. Question 18 · part d · 5 marks · Working and answer

Working and answer

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3. Question 18 · part b · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

18 On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

	$
Redesign of premises to accommodate the new servers	20000
Cost of computer network	34000
Installation costs of the computer equipment	5000
Five-year maintenance contract for the network	3000 per annum
Training costs for IT staff on how to operate the network	12000
Training costs for delivery staff	4500

(a) Calculate the **total amount** of:

(i) capital expenditure

(5)

(ii) revenue expenditure.

(3)

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3. Question 18 · part b · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part b only.

(iii) Explain your treatment of the cost of the redesign of the premises to accommodate the new servers.

(2)

(b) Explain the importance of the correct treatment of capital expenditure and revenue expenditure.

(5)

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(Total for Question 18 = 15 marks)

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3. Question 18 · part b · 5 marks · Working and answer

Working and answer

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